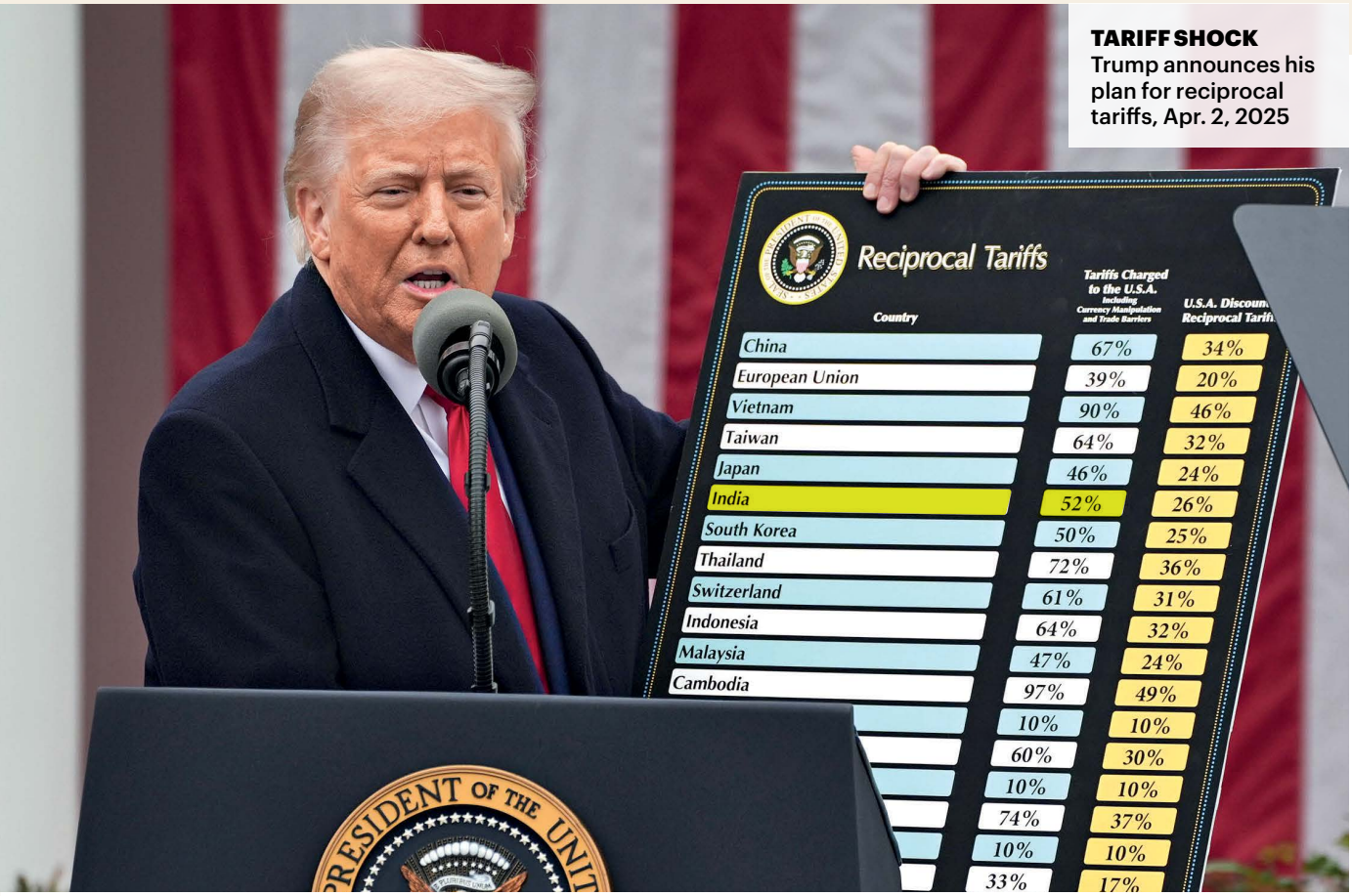


TARIFF SHOCK
Trump announces his plan for reciprocal tariffs, Apr. 2, 2025

GETTY IMAGES

"The real damage in relations is psychological—the perception is that the US is coercive and unreliable. That shouldn't prevent India from deepening its partnership, but it should hedge"

— Arun Singh, *Former Ambassador to the US*

phase of the Jan Vishwas programme overseen by the Department of Promotion of Industrial Investment and Trade (DPIIT). That saw the amendment of 17 more laws, including decriminalising a range of offences across sectors in municipal governance, motor vehicle regulation and export-related activities. These are in addition to the 183 provisions across 42 laws the DPIIT decriminalised in the first phase beginning 2023. "Overall," says Pramod Mishra, "these reforms are designed to improve productivity, encourage entrepreneurship and strengthen India's competitiveness by lowering the everyday friction of economic participation." However, with Trump upending the world order, specifically Indo-US ties, Modi would face the biggest foreign policy challenge of his premiership.

The Trump Factor

Ironically, till May 2025, the Indo-US relationship had been at its strongest in years. Modi had enjoyed good relations with Trump in his first presidency, the only sore point being the nearly $41 billion trade imbalance in Delhi's favour. The signals from Washington DC remained positive early in Trump 2.0, with external affairs minister S. Jaishankar given a front-row seat at the oath-taking ceremony on January 20. The next day, Jaishankar, along with the foreign ministers of the other Quad countries such as Australia and Japan, met with the new US secretary of state Marco Rubio, indicating that India and the grouping were a priority for the new administration.

Modi was among the first leaders Trump hosted at the White House during an Official Working Visit on February 13, which saw the two leaders signing a clutch of forward-leaning initiatives. India had smartly paved the way for the positive outcome two weeks earlier, when in its Budget it announced a substantial lowering of tariffs for US products like bourbon, iconic motorcycle brands, ICT products and medical devices, besides allowing market access for agricultural products like duck meat and alfalfa hay. It also included a commitment to open up India's nuclear power sector to private players, including foreign investors, and modify the contentious civil liability provisions that had prevented American companies from investing in India after the US-India nuclear deal of 2008.